The risk-first trading workbook

Position sizing, expectancy and a trade journal you can apply before placing an order.

TRADING GUIDES | INTERMEDIATE

01 / Define the loss before the trade

A trade plan needs an entry condition, an invalidation level and an exit process. Invalidation is the price or evidence that means the original idea no longer holds. Choose it because it fits the setup, not because it makes the position size look attractive.

A stop order is a risk tool, not a guarantee of an execution price. Gaps, thin liquidity and fast markets can produce slippage. Consider whether the proposed position remains tolerable if the actual loss is larger than the planned one. Avoid using borrowed money needed for essentials.

MAKE IT PRACTICAL
Describe one hypothetical setup without naming a current security. What evidence would invalidate it? What would you do if the market opened beyond the stop?

02 / Calculate a position size

For a cash-equity example, planned rupee risk = account capital x chosen risk fraction. Per-share planned risk = absolute difference between entry and stop. Maximum shares = floor(planned rupee risk / per-share risk), subject to available capital, liquidity and a buffer for costs.

Illustration only: capital of Rs 100,000 with a chosen 0.5% risk allowance gives Rs 500. Entry Rs 200 and stop Rs 195 imply Rs 5 per-share risk, so the unadjusted quantity is 100 shares. If you reserve Rs 100 for costs and slippage, the calculation becomes 80 shares. Neither risk fraction nor example is a recommendation.

This simple formula does not describe option or leveraged derivative risk. Lot sizes, nonlinear payoffs, margin changes and assignment or settlement rules require separate analysis.

MAKE IT PRACTICAL
Capital ____ x risk fraction ____ = budget ____. Entry ____ minus stop ____ = per-unit risk ____. Costs buffer ____; final quantity ____.

03 / Evaluate expectancy, not only win rate

Expected result per trade = win probability x average win - loss probability x average loss, with costs included. A high win rate can coexist with negative expectancy if occasional losses are large.

Hypothetical example: 40% wins averaging Rs 1,000 and 60% losses averaging Rs 500 produces Rs 100 gross expectancy per trade. Costs of Rs 120 would make the net expectancy negative. Historical estimates are uncertain, especially with a small sample or changing market conditions.

- Use net outcomes after fees and slippage.
- Measure average loss as well as average win.
- Check whether one exceptional trade dominates the result.
- Do not treat a backtest as a promise of future performance.

04 / Build a journal that teaches you

Save a chart at entry and exit. Record the setup, time, size, planned risk, realised result and whether you followed the rules. Separate a good decision with a losing outcome from a poor decision that happened to make money.

Review groups of trades rather than changing the strategy after every loss. Look for recurring execution mistakes, concentration across open positions and behaviour after a losing streak. Define a session loss limit and a condition for pausing before the session starts.

- Date | setup | entry | invalidation | quantity | planned loss
- Exit | costs | net outcome | rule adherence
- One thing to repeat | one thing to improve

05 / A pre-order checklist

Before submitting an order, verify instrument, exchange, side, quantity, order type and product type. Check whether overlapping positions increase exposure to the same risk. If you cannot explain the loss scenario, postpone the trade.

MAKE IT PRACTICAL
Confirm: written setup, capital not needed for essentials, total open risk, liquidity, costs, order fields and an exit process. Practise on paper before committing capital.

Sources and further reading

Original educational guide. Examples are hypothetical; this is not personalised investment advice or a promise of returns. Free download for personal study.

SEBI Investor: https://investor.sebi.gov.in/
SEBI due diligence: https://investor.sebi.gov.in/due_diligence.html
Zerodha Varsity modules: https://zerodha.com/varsity/modules/
External references for further learning; their material is not reproduced here.